

**ALL COMMODITIES, AS VALUES,
ARE REALIZED HUMAN LABOR.**

KARL MARX

Opportunity and time

A different way of explaining how we value things is in terms of what they cost us. This is not the price that is put on them, but what we have to give up in order to get them. You may have to choose, for example, whether to buy a new bike, or whether to use that money to take driving lessons. If you decide to learn to drive, you give up the opportunity of being able to ride around on your new bike, but gain in the long term by learning a skill that lasts a lifetime. What you give up—the “opportunity cost”—determines the value of the thing that you decide to keep.

Some economists explain the value of goods and services in another way. They believe that the true value of these things is determined by how much labor has gone into producing them. So, the value of manufactured goods, cars or computers, for example, depends on the number of people who were involved in making them and the amount of work they put in. This is known as the labor theory of value and it was first explained by Adam Smith (see [Fair EXCHANGE](#)) and other Classical economists. It is also an important idea in Marxian economics. According to the labor theory, two different goods that involved the same amount of work and took the same time to produce, should cost the same amount of money. If the cost of buying a good is more than the buyer values the time it would take to make it, then the buyer could make the good themselves.